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Nº 26

COLLECTION

INVESTORS

Your First Income Property

Buy your first plex
without costly mistakes.

2026 EDITION

BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It presents general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. Every real estate situation is different, and you should consult the appropriate professionals before making a decision about a transaction.

COLLECTION INVESTORS · GUIDE NO. 26

Your First Income Property

Buy your first plex without costly mistakes – profitability, financing, management

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Investing in your first income property is one of the best ways to build assets in Quebec. But a plex is not a house: you buy it like a business, with numbers, not with your heart.

This guide gives you the basics: evaluating a building, calculating its profitability, financing it, and avoiding the classic mistakes of the first investor.

Each chapter ends with a lined “My Notes” page.

Buying your first income property means moving from buyer to investor - then to manager. This guide teaches you how to think in numbers, how to vet a property before offering, how to avoid classic mistakes, and how to manage once you own it.

The common thread: emotion chooses a house, numbers choose a building.

CHAPTER

Think like an investor

> *Adopt the business logic of rental real estate.*

An income property is judged on its figures: rental income, expenses, financing, and the remaining cash flow. You don't buy a plex because it's pretty, but because its figures hold up.

- Income: current and potential rents.
- Expenses: taxes, insurance, maintenance, management, vacancy, bad debts.
- Financing: down payment, mortgage payments.
- Cashflow: what remains once everything has been paid.

An income property is not a residence: it is judged on its figures, not on crush. Income, expenses, cash flow and yield take precedence over decoration. Adopting this business logic from the first visit is what distinguishes the investor from a simple emotional buyer.

> EMILIE'S ADVICE
>
> *Fall in love with numbers, not bricks. An ordinary building with solid numbers is a much better investment than a nice plex that loses money every month.*

CHAPTER

Evaluate a building before offering

> *Carry out checks specific to the rental.*

- Analyze leases, current rents vs. market, payment history.
- Check the condition of the building (roof, structure, plumbing, electricity): repairs to several dwellings are expensive.
- Obtain actual expenses (taxes, insurance, common energy, maintenance).
- Take into account vacancy and bad debts in the projections.

In Quebec, remember: leases follow the building. You inherit the tenants and their conditions.

Before offering, check the facts: current leases and rents vs. market, history of expenses (taxes, insurance, energy, maintenance), condition of the building and future work. A “below market” rent is not an automatic gift - the increase rules govern the increase.

> EMILIE'S ADVICE
>
> *Demand the real numbers (leases, expenses, invoices), not the seller's optimistic projections. A building is bought on verified data, not on promises.*

CHAPTER

The classic mistakes of the first investor

> *Avoid the most common pitfalls.*

- Overestimate income and underestimate expenses.
- Forget vacancy, management and the reserve for major works.
- Presuming you can increase rents or evict easily (strict rules).
- Neglecting the inspection: a building hides more systems than a house.

A good project remains profitable even with a vacancy and a major repair in the same year. If it only fits in the perfect scenario, it's too risky.

The classic beginner's mistakes: overestimating income, underestimating expenses, forgetting vacancy and maintenance, and neglecting rental rules. A realistic budget, with a reserve, prevents you from discovering that your “good deal” is losing money every month.

> EMILIE'S ADVICE
>
> *Build your figures carefully: realistic rents, full expenses, margin for the unexpected. The seller’s “on paper” profitability is almost always better than reality.*

CHAPTER

From analysis to offer

> *Structuring an investor offer.*

Once the figures are validated, make a conditional offer: inspection, financing, and review of leases and documents. These terms protect you if actual figures differ from what was advertised.

The first building is a school: well chosen and well managed, it partly finances your skills development and opens the door to the second.

Once the figures have been validated, structure an investor offer: inspection and financing conditions, examination of leases and financial statements, sufficient deadlines. You don't buy a building on the seller's faith - you buy it on verified documents.

> EMILIE'S ADVICE
>
> *Always have leases and expenses reviewed BEFORE your terms end. Discovering an overvalued rent or a hidden expense after the purchase is too late.*

CHAPTER

After the purchase: managing your first building

> *Go from buyer to owner-lessor.*

Buying a building also means becoming **manager**. Some foundations to get you started:

- Resume the **leases** in progress and know its tenants.
- Hold a **accounting** simple from the first month.
- Constitute a **reserve** for maintenance and unforeseen events.
- React **quickly** to requests (good service reduces turnover).

Rigorous management from the start makes the difference between a profitable investment and a source of stress.

After the purchase, you become a manager: take over the leases, keep accounts from the first month, build up a maintenance reserve and react quickly to requests. Rigorous management makes the difference between a profitable investment and a source of stress.

> EMILIE'S ADVICE
>
> *Treat your building like a small business from day one: a dedicated account, up-to-date figures and a maintenance reserve. This seriousness will also make it easier for you to finance your next one.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Define my budget and my investor borrowing capacity.
2. Learn to read leases and building expenses.

Within 30 days

1. Analyze 2-3 buildings on their actual figures.
2. Make a conditional offer on the best file.

Then

1. Have leases inspected and validated before lifting my conditions.

Before offering

1. Obtain leases, rents, and history of building expenses.
2. Build my realistic budget (with vacancy and reserve) and validate my financing.

REFERENCES

Resources & glossary

- Cashflow: cash that remains after all expenses and financing.
- Leases: contracts that follow the building in Quebec.
- Vacancy: periods without a tenant to budget for.
- Bad debts: unpaid rent to be expected.
- Works reserve: provision for major repairs.

- Income property: property purchased to generate rent.
- Cashflow: what remains after all expenses and the mortgage.
- Vacancy: period without tenant, to budget.
- Maintenance reserve: amount set aside for repairs.
- Lease: rental contract which follows the building upon sale.

GO FURTHER

Quiz - test yourself

1. An income property is judged mainly on:

A) Its appearance

B) Its figures (income, expenses, cash flow)

C) Its color

D) The neighborhood alone

2. In Quebec, leases:

A) Cancel upon sale

B) Follow the building

C) Rewrite themselves

D) Disappear

3. A classic error is:

A) Underestimating income

B) Overestimate income and underestimate expenses

C) Provide a reserve

D) Have it inspected

4. A good project must contain:

A) Only if everything is perfect

B) Even with vacancy and major repair

C) Without tenants

D) Without reservation

5. The numbers to use are:

A) Seller's projections

B) Actual verified data

C) Optimistic estimates

D) None

6. An investor's offer should be:

A) Unconditionally

B) Conditional (inspection, financing, leases)

C) Verbal

D) Random

7. Assuming you can dislodge easily is:

A) Realistic

B) Risky: the rules are strict

C) Guaranteed

D) Unimportant

8. The cash flow is:

A) The purchase price

B) What remains after everything is paid

C) The down payment

D) The tax

Answers

1. B - We buy it like a business (chap. 1).

2. B - You inherit the tenants (chap. 2).

3. B - Most common trap (chap. 3).

4. B - We test a conservative scenario (chap. 3).

5. B - Actual leases and expenses (chap. 2).

6. B - Conditions protect (chap. 4).

7. B - The recovery/eviction is regulated (chap. 3).

8. B - Net cash flow (chap. 1).

Make informed decisions.
Choose with confidence.
Move forward without regret.

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